Claims Coverage and Prior Authorization Policy

Version 3.2 · Effective 1 January 2026 · Applies to: Northstar Health, Sunrise Mutual, Keystone Care, Lotus Assurance, Meridian Plus

Training material. This is a fictional policy written for a classroom exercise. All payers, codes, rules and amounts are invented and do not describe any real insurer.

1. Purpose

1.1 This policy explains when the five participating payers pay a claim, when they deny it, and what a provider must do to avoid or appeal a denial.

1.2 Each denial is reported with a denial code. Section 9 lists every code used under this policy.

2. Definitions

2.1 **Service date** is the date the patient received the service. **Submit date** is the date the claim reached the payer.

2.2 **Prior authorization** is written approval from the payer, issued before the service, confirming the service will be covered. Each approval has an authorization number.

2.3 **Billed amount** is what the provider charges, in Indian rupees. **Allowed amount** is what the payer agrees to pay. A denied claim has an allowed amount of zero.

3. Submission and timely filing

3.1 Claims must be submitted within 120 days of the service date for Northstar Health, Keystone Care, Lotus Assurance and Meridian Plus.

3.2 Sunrise Mutual applies a stricter limit: claims must be submitted within **90 days** of the service date. Claims submitted after 90 days are denied with code CO-29 (timely filing limit expired).

3.3 The timely filing limit is measured from the service date to the submit date, in calendar days.

4. Prior authorization

4.1 The following procedures require prior authorization from every payer: MRI brain with and without contrast (70553), CT abdomen and pelvis with contrast (74177), and diagnostic colonoscopy (45378). No other procedure in this policy requires prior authorization.

4.2 For a procedure listed in 4.1, the provider must obtain prior authorization before the service date and record it on the claim. A claim for a listed procedure without prior authorization is denied with code CO-197 (prior authorization absent).

4.3 Keystone Care does not accept retroactive authorization under any circumstances. A Keystone Care claim covered by 4.1 that lacks prior authorization is always denied.

4.4 The other four payers may accept a retroactive authorization requested within two business days of an urgent service. If the retroactive request is approved, the claim is paid; otherwise it is denied under 4.2.

4.5 Prior authorization approves coverage only. A claim with prior authorization can still be denied for another reason in this policy, such as missing information (section 5).

5. Required claim information

5.1 Every claim must include a valid payer ID, a valid procedure code, a service date and a provider ID. Claims with missing or invalid information are denied with code CO-16.

5.2 Payer IDs: Northstar Health PY101, Sunrise Mutual PY102, Keystone Care PY103, Lotus Assurance PY104, Meridian Plus PY105.

5.3 **Code change.** The internal code LAB-CMP for the comprehensive metabolic panel was retired on 1 July 2026 and replaced by the standard code 80053. Claims for services on or after 1 July 2026 must use 80053. Earlier claims coded LAB-CMP remain valid and refer to the same test.

5.4 A claim denied under 5.1 may be corrected and resubmitted within the timely filing limit in section 3.

6. Medical necessity

6.1 Payers may deny a service as not medically necessary (code CO-50) when the clinical notes do not support it.

6.2 MRI brain (70553) requires documented neurological symptoms or findings that a CT scan could not resolve.

6.3 Physical therapy exercises (97110) are covered for up to 12 sessions per condition per year. Additional sessions require a documented progress review.

7. Duplicate claims

7.1 A claim with the same patient, provider, procedure and service date as a claim already received is a duplicate and is denied with code CO-18.

7.2 Providers must not resubmit a claim that is still being processed. Corrections are sent as a corrected claim, not a new one.

8. Appeals

8.1 A provider may appeal a denial within 30 days of the denial notice.

8.2 An appeal must include the claim ID, the denial code, the reason the denial is wrong, and supporting documents such as the authorization number or clinical notes.

8.3 Denials under 4.3 (Keystone Care, no prior authorization) cannot be overturned on appeal unless the provider shows the authorization existed before the service date.

9. Denial code reference

Code	Meaning	Policy section
CO-16	Missing or invalid information	5
CO-18	Duplicate claim	7
CO-29	Timely filing limit expired	3
CO-50	Not medically necessary	6
CO-197	Prior authorization absent	4